January 2018 Paper 02

Question 1

1(a) Define key terms

Define EACH of the following terms: (i) Goods (2 marks); (ii) Services (2 marks)

(a)(i) Goods

Goods are physical, tangible items that can be seen, touched and stored, and that are produced to satisfy human wants and needs. Examples include food, clothing, vehicles, books and furniture, all of which can be moved from one place to another and owned by the buyer.

(a)(ii) Services

Services are intangible activities or benefits that one person or business provides to another to satisfy a want or a need, and which cannot be touched, stored or owned in the same way as goods. Examples include the work of a doctor, teacher, hairdresser, banker or bus driver, where the customer pays for the activity rather than for a physical product.

1(b) Advantage and disadvantage of e-commerce

Outline ONE advantage and ONE disadvantage of e-commerce. (4 marks)

Advantage of e-commerce

One advantage of e-commerce is that it allows customers to shop at any time of the day or night and from any location with internet access, while businesses can reach a much wider market without having to open many physical stores. This convenience and global reach lead to lower operating costs for businesses and a wider variety of products at competitive prices for consumers.

Disadvantage of e-commerce

One disadvantage of e-commerce is the risk of fraud and the loss of personal information. When customers enter their credit card and personal details on a website, that information can be stolen by hackers or by dishonest sellers and used to carry out fraud. Customers may also pay for goods that are never delivered, or receive items that do not match what was advertised.

1(c) Characteristics of economic systems

State TWO characteristics of EACH of the following types of economic systems: (i) Planned economy (2 marks); (ii) Free enterprise (2 marks); (iii) Mixed economy (2 marks)

(c)(i) Planned economy

- The state owns most of the resources and the means of production and runs the main industries through state-owned enterprises.
- The central government decides what to produce, how to produce it and for whom to produce, and sets prices and wages with little role for private business.

(c)(ii) Free enterprise

- Resources and the means of production are owned and controlled by private individuals and businesses, who use them to make a profit.
- Decisions about what is produced, how it is produced and at what price are made through the market, based on the demand of consumers and the supply of producers, with little government interference.

(c)(iii) Mixed economy

- Resources and businesses are owned partly by private individuals and partly by the government, with both sectors producing goods and services side by side.
- The government provides essential services such as health, education and security, sets rules to protect consumers and workers, and steps into the market when necessary, while private businesses are free to compete and earn profits.

1(d) How businesses contribute to social and economic development

Explain TWO ways in which businesses can contribute to the social and economic development of a country. (6 marks)

Creation of jobs and increased national income

Businesses employ workers to produce goods and provide services, paying them wages and salaries that allow them to support their families and improve their standard of living. The work done by these businesses adds to the gross domestic product of the country, raises national income and gives the government tax revenue to spend on schools, hospitals and roads. As more people earn and spend, the whole economy grows and poverty is reduced.

Provision of goods, services and community development

Businesses produce a wide variety of goods and services that meet the daily needs of citizens, from food and clothing to banking, health and entertainment. Many businesses also support social development by sponsoring sports teams, schools and charities, providing scholarships, building community centres and helping during disasters. These actions raise the quality of life of citizens and strengthen the link between the business and the wider society.

Question 2

2(a) Legal concepts

Define EACH of the following legal concepts: (i) Counteroffer (2 marks); (ii) Invitation to treat (2 marks)

(a)(i) Counteroffer

A counteroffer is made when the person to whom an offer is made does not accept it as it stands but replies with a different offer of his or her own, changing one or more of the terms. The counteroffer cancels the original offer, and the original offeror is now in the position of receiving a new offer that he or she may either accept or reject.

(a)(ii) Invitation to treat

An invitation to treat is not a true offer but rather an invitation for someone else to make an offer. Examples include goods displayed in a shop window with a price tag and advertisements in newspapers. The customer who picks up the goods or responds to the advertisement is the one making the offer, which the seller can then choose to accept or reject.

2(b) Characteristics of a simple contract

Describe TWO characteristics of a simple contract. (4 marks)

It can be made in writing, by spoken word or by conduct

A simple contract does not need to follow any special form. It can be made through a written document, through a verbal agreement between the parties or even by the conduct of the parties, such as when a customer takes goods to a cashier and pays the price. Once all the basic requirements are present, the contract is binding even if nothing is put in writing.

It must include consideration from both parties

A simple contract requires each party to give something of value to the other, called consideration. The consideration may be money, goods, a service or a promise to do (or not to do) something. Without consideration, the agreement is just a promise and cannot be enforced as a simple contract.

2(c) Specialty contract

(c)(i) State TWO characteristics of a specialty contract. (2 marks); (ii) Give TWO examples of a specialty contract. (2 marks)

(c)(i) TWO characteristics of a specialty contract

- It must be made in writing, signed, sealed and delivered by the parties (often called a contract under seal or a deed).
- It does not need consideration in the same way that a simple contract does, because the formal requirements of writing, signing and sealing are themselves enough to make the contract binding.

(c)(ii) TWO examples of a specialty contract

- A deed for the sale or transfer of land or buildings.
- A mortgage agreement between a borrower and a bank.

2(d) Type of mistake in a contract

Describe ONE type of mistake in a contract. (2 marks)

One type of mistake in a contract is a mistake as to the identity of the subject matter, also called a common mistake. This happens when both parties think they are dealing with the same item but in fact they have different items in mind. For example, both parties think they are buying and selling a particular car, but they are actually thinking of two different vehicles. Because there is no real agreement on what is being bought and sold, the contract is treated as void.

2(e) John and Mary case - discharge of contract

John agreed to deliver goods for Mary at a specified date and time. He fell ill and failed to deliver the goods at the agreed date and time. He eventually delivered the goods at a much later date. Explain TWO ways in which this contract was discharged or terminated. (6 marks)

Discharge by frustration (impossibility of performance)

When John fell ill, performance of the contract on the agreed date became impossible through no fault of his own. Where an event happens after the contract is made that makes it impossible for one party to carry out the contract on the agreed terms, the contract may be discharged by frustration. Neither party can be blamed for the failure to perform on time, and the original contract for delivery on the specified date and time effectively comes to an end at that point.

Discharge by performance (eventual delivery of the goods)

When John eventually delivered the goods, even though it was at a much later date than agreed, he completed the main duty he had under the contract, which was to deliver Mary's goods. A contract can be discharged by performance when both parties fully carry out the duties that were agreed. By accepting the late delivery, Mary allowed the contract to be discharged in this way, although she may still claim damages for any loss caused by the delay.

Question 3

3(a) Industries developed from productive activities

Identify THREE industries in the Caribbean that have developed from EACH of the following productive activities: (i) Farming (3 marks); (ii) Mining/quarrying (3 marks)

(a)(i) Farming

- The sugar industry, in which sugar cane is processed into sugar, molasses and rum.
- The banana and citrus industry, in which bananas and citrus fruits are exported and used to make juices and jams.
- The dairy and poultry industry, which produces milk, eggs and meat for local supermarkets and restaurants.

(a)(ii) Mining/quarrying

- The bauxite and alumina industry, based on bauxite mined in Jamaica and Guyana.
- The petroleum and natural gas industry of Trinidad and Tobago, which produces fuels, methanol and ammonia.
- The construction materials industry, based on quarrying of limestone, sand and gravel for cement, blocks and road building.

3(b) Benefits of linkage industries

Outline TWO benefits of linkage industries to Caribbean economies. (4 marks)

Greater use of local raw materials and reduced imports

Linkage industries connect one industry with another so that the output of one becomes the input of the

next. For example, sugar cane farming feeds into sugar refining, rum production and the use of bagasse for fuel. This greater use of local raw materials means that fewer raw materials need to be imported, which saves foreign exchange and helps the balance of payments.

Creation of jobs and increased national income

Each new linkage in the chain creates extra jobs in farming, transport, processing, packaging and marketing, raising the level of employment in the economy. As more output is produced and more workers earn wages, the gross domestic product rises and the government collects more tax revenue, which can be spent on schools, health and infrastructure.

3(c) Factors when determining the location of a business

List FOUR factors which should be considered when determining the location of a business. (4 marks)

- Closeness to customers and the level of foot traffic in the area.
- Closeness to suppliers and the cost of transporting raw materials and finished goods.
- The cost of rent or land and the availability of utilities such as electricity, water and internet.
- The availability of suitably skilled labour and the level of competition already in the area.

3(d) Effects of growth on a business

Many businesses start small and later develop into large businesses. Explain ONE positive effect and ONE negative effect of growth on a business. (6 marks)

Positive effect: Economies of scale and higher profits

As a business grows, it can buy raw materials in larger quantities and at lower prices, spread its fixed costs such as rent and management salaries over more units of output, and use more efficient machinery. These economies of scale lower the cost of producing each item, which allows the business to charge competitive prices, win more customers and earn higher profits. Larger businesses also find it easier to borrow money on better terms, which supports further investment and expansion.

Negative effect: Difficulty of management and impersonal service

When a business grows large, the owner can no longer keep an eye on every part of the operation, and decisions have to be passed through layers of managers. This can slow down decision making, lead to communication breakdowns and create conflicts among workers. Customers may also feel that they receive less personal attention than they did when the business was small, and quality control can suffer if managers lose touch with what is happening on the shop floor.

Question 4

4(a) Investment and savings

Define EACH of the following terms: (i) Investment (2 marks); (ii) Savings (2 marks)

(a)(i) Investment

Investment refers to the use of money to buy assets such as shares, bonds, property or equipment, with the aim of earning a higher return over time in the form of dividends, interest, rent or capital gains.

Investments usually carry some level of risk, since the value of the asset can rise or fall, but they offer the chance of greater rewards than ordinary savings.

(a)(ii) Savings

Savings refer to the part of a person's income that is not spent on current consumption but is set aside for future use, usually in a low-risk account such as a savings account at a commercial bank or credit union. Savings earn a small amount of interest and the money is kept safe and easy to withdraw when needed.

4(b) Sources of capital

Identify TWO sources of capital in EACH of the following markets: (i) Money market (2 marks); (ii) Capital market (2 marks)

(b)(i) Money market

- Treasury bills issued by the government for short periods such as 90 or 180 days.
- Short-term loans and overdrafts from commercial banks, and certificates of deposit.

(b)(ii) Capital market

- Shares (ordinary and preference) issued by limited companies on the stock exchange.
- Long-term bonds and debentures issued by companies and government, and long-term loans or mortgages from banks and development banks.

4(c) Factors that determine how much capital a firm borrows

State TWO factors which could determine how much capital a firm borrows. (2 marks)

- The purpose of the loan and the size of the project being financed, such as buying machinery or expanding a factory.
- The interest rate charged by the lender and the firm's ability to repay out of its expected profits and cash flow.

4(d) Methods used by central banks to regulate commercial banks

Describe TWO methods used by central banks to regulate the activities of commercial banks. (4 marks)

Setting reserve requirements

The central bank requires every commercial bank to keep a certain percentage of its deposits in reserve, either in its own vaults or at the central bank. By raising or lowering this reserve requirement, the central bank controls how much money the commercial banks can lend out, which influences the amount of credit and the level of inflation in the economy.

Open market operations and the bank rate

The central bank also buys and sells government securities on the open market to add or take money out of the banking system. When it sells securities, money is taken out of the banks and lending falls, while buying securities adds money to the banks and supports lending. In addition, the central bank sets the bank rate at which it lends to commercial banks, which guides the rates that commercial banks charge their customers.

4(e) Stock market - benefit and risk

Explain ONE benefit and ONE risk of using the stock market for investment. (6 marks)

Benefit: Potential for high returns and dividends

Investing in the stock market gives the investor the chance to earn returns that are usually higher than those from ordinary savings accounts. The investor may receive regular dividends out of the profits of the company, and the value of the shares may also rise over time, giving a capital gain when the shares are sold. Over the long term, a well-chosen portfolio of shares can grow much faster than money kept in a bank account, helping the investor to build wealth and to beat inflation.

Risk: Possible loss of capital due to falling share prices

Share prices on the stock market can rise and fall sharply because of changes in the economy, the performance of the company or general investor confidence. If share prices fall, the investor's holding is worth less than what was paid for it, and selling at that point would mean a loss. In the worst case, if a company collapses, ordinary shareholders may lose all the money they invested. The investor must therefore be prepared for the possibility that the value of the investment will go down as well as up.

Question 5

5(a) Economic growth and economic development

Define EACH of the following terms: (i) Economic growth (2 marks); (ii) Economic development (2 marks)

(a)(i) Economic growth

Economic growth refers to the increase in the total output of goods and services produced in a country over a period of time, usually measured by the rise in real gross domestic product (GDP) from one year to the next. It shows that the economy is producing more than it did before.

(a)(ii) Economic development

Economic development is a wider idea that includes economic growth but also looks at improvements in the quality of life of citizens, such as better health care, higher levels of education, less poverty, more equal distribution of income and a cleaner environment. A country develops when its citizens enjoy a better and fairer standard of living, not just a higher output.

5(b) Methods of measuring national income

List the THREE methods by which governments measure the national income of a country. (3 marks)

- The income method, which adds up all the incomes earned by citizens and businesses, such as wages, profits, interest and rent.
- The output (production) method, which adds up the value of all the final goods and services produced by every industry in the country.
- The expenditure method, which adds up all the spending on final goods and services by households, businesses, government and the foreign sector (net exports).

5(c) Reasons countries engage in international trade

State THREE reasons why countries engage in international trade. (3 marks)

- To obtain goods and services that the country cannot produce itself or cannot produce in large enough amounts, such as machinery, oil or wheat.
- To benefit from specialisation and lower production costs, since each country can focus on what it can produce best and trade for the rest.
- To earn foreign exchange from exports, which is used to pay for imports and to repay foreign loans, and to create jobs at home.

5(d) Balance of trade vs balance of payments

Distinguish between 'balance of trade' and 'balance of payments'. (4 marks)

Balance of trade

The balance of trade is the difference between the value of a country's visible exports (goods sold to other countries) and the value of its visible imports (goods bought from other countries) over a period of time. It deals only with physical goods and is one part of the wider balance of payments.

Balance of payments

The balance of payments is a much wider record that includes the balance of trade plus the balance of trade in services (such as tourism, shipping and banking) and the flow of money for investment, loans, gifts and grants between the country and the rest of the world. It shows the overall position of the country in its dealings with other countries.

5(e) Measures to address balance of payments problems

Explain TWO measures a country may adopt to address its balance of payments problems. (6 marks)

Promote exports and reduce imports

The government can encourage local producers to sell more goods and services abroad by giving them tax incentives, export subsidies and help with marketing in foreign countries. At the same time, it can place tariffs and quotas on imports, especially on luxury goods, to make them more expensive and reduce the amount the country buys from overseas. As exports rise and imports fall, the gap on the balance of payments narrows.

Encourage foreign investment and tourism

The country can attract foreign investors by offering tax holidays, building good infrastructure and keeping the political and economic environment stable, so that overseas firms set up factories, hotels and offices and bring in foreign exchange. Promoting the country as a tourist destination through advertising overseas and improving airports, beaches and attractions also brings in foreign currency from visitors. Both of these inflows help to close the gap on the balance of payments.